



Regulations

12 CFR Part 370 Recordkeeping for Timely Deposit Insurance Determination

The “Recordkeeping for Timely Deposit Insurance Determination” rule (12 CFR Part 370 of the FDIC’s Rules and Regulations) requires each insured depository institution that has two million or more deposit accounts (a “Covered Institution” as defined in § 370.2(c) of the rule) to (1) configure its information technology system to be capable of calculating the insured and uninsured amount in each deposit account by ownership right and capacity, which would be used by the FDIC to make deposit insurance determinations in the event of the institution’s failure, and (2) maintain complete and accurate information needed by the FDIC to determine deposit insurance coverage with respect to each deposit account, except as otherwise provided.

For more information pertaining to the rule, see Federal Register notice [Part 370 - Recordkeeping for Timely Deposit Insurance Determination](https://www.ecfr.gov/current/title-12/chapter-III/subchapter-B/part-370) (<https://www.ecfr.gov/current/title-12/chapter-III/subchapter-B/part-370>). For questions regarding part 370, please contact the FDIC at Part370@FDIC.gov (<mailto:Part370@FDIC.gov>).

Compliance Review Manual

The [Compliance Review Manual \(PDF\)](https://www.fdic.gov/regulations/resources/recordkeeping/documents/compliance-review-manual.pdf) (<https://www.fdic.gov/regulations/resources/recordkeeping/documents/compliance-review-manual.pdf>) includes general guidelines for FDIC testing, as well as compliance documentation modules to be used by FDIC staff in scoping and performing the review.

Information Technology Functional Guide Version 3.0

The Information Technology Functional Guide (ITFG) (PDF) (<https://www.fdic.gov/regulations/resources/recordkeeping/documents/info-tech-func-guide-for-implement-part370.pdf>) was developed to assist the information technology teams of the Covered Institutions in implementing systems for 12 C.F.R. part 370 ("Part 370"). This 3.0 version incorporates updates to reflect amendments to Part 370 and Part 330, Part 330 simplification amendments to the deposit insurance rules that will take effect on April 2024, and feedback from Covered Institutions on the draft ITFG version 2.1 issued on September 2018.

Guidelines for Relief

The Guidelines for Relief (PDF) (<https://www.fdic.gov/regulations/resources/recordkeeping/documents/guidelines-for-relief-from-part370.pdf>) describe the procedures for CIs to follow when submitting requests for relief from aspects of Part 370.

Federal Register Notices of FDIC Responses to Exception Requests

The FDIC published the following exception request notices in the Federal Register, which a covered institution may rely upon by following the procedures set forth in part 370.8(b)(3).

- Relief granted for Additional Time to Integrate Information Technology Systems that Contain the Requisite Information to Calculate Deposit Insurance Coverage Amounts for Official Items –
Federal Register Document 2021-28143
(<https://www.federalregister.gov/documents/2021/12/28/2021-28143/notice-of-the-fdics-response-to-exception-requests-pursuant-to-recordkeeping-for-timely-deposit>)
effective December 20, 2021, as published December 28, 2021.
- Relief granted for Certain Deposits Reflected on Loan Systems for Which the Covered Institutions Are Not Capable of Completing Deposit Insurance Calculation Process Because Additional Time Is Required for System Upgrades

or Conversions –

Federal Register Document 2021-20160

(<https://www.federalregister.gov/documents/2021/09/17/2021-20160/notice-of-the-fdics-response-to-exception-requests-pursuant-to-recordkeeping-for-timely-deposit>)

effective September 14, 2021, as published September 17, 2021.

- Relief granted for Mortgage Servicing Accounts for Which the Covered Institution's System of Record Cannot Calculate Principal and Interest at an Account Level at a Given Point in Time -
Federal Register Document 2021-02781
(<https://www.federalregister.gov/documents/2021/02/11/2021-02781/notice-of-the-fdics-response-to-exception-requests-pursuant-to-the-recordkeeping-for-timely-deposit>)
effective February 4, 2021, as published February 11, 2021.
- Relief granted for: 1) Certain Formal Revocable and Irrevocable Trust Accounts With Transactional Features for Which the Covered Institution Must Maintain a Unique Identifier for a Grantor in its Deposit Account Records; 2) Certain Deposit Accounts for Which the Covered Institution's Information Technology System Is Not Capable of Completing Deposit Insurance Calculation Process Because Additional Time is Required for Data Cleanup to Assign an Ownership, Right and Capacity Code and for Related System Updates; 3) A Limited Number of Internal (Work-in-Process) Deposit Accounts for Which the Covered Institution's Information Technology System Is Not Capable of Completing Deposit Insurance Calculation Process Within 24 Hours of Failure; and, 4) A Limited Number of Deposit Accounts for Which the Covered Institution's Trust Department Acts in an Agency or Fiduciary Capacity -
Federal Register Document 2021-02782
(<https://www.federalregister.gov/documents/2021/02/11/2021-02782/notice-of-the-fdics-response-to-exception-requests-pursuant-to-recordkeeping-for-timely-deposit>)
effective February 3, 2021, as published February 11, 2021.
- Relief granted for: 1) Certain Deposit Accounts for Sole Proprietorships That the Covered Institution's Information Technology Systems Misclassify With an Incorrect Ownership, Right and Capacity Code; and, 2) A Limited Number of Joint Accounts for which the Covered Institution Has Not Confirmed "Qualifying Joint Account" Status for Deposit Insurance Purposes Pursuant to 12 CFR Section 330.9 -

Federal Register Document 2020–16899 effective

(<https://www.federalregister.gov/documents/2020/08/04/2020-16899/notice-of-the-fdics-response-to-exception-requests-pursuant-to-recordkeeping-for-timely-deposit>)

July 28, 2020, as published August 4, 2020.

- Relief granted for: 1) Certain Deposit Accounts for Which the Covered Institution’s Information Technology System Is Not Capable of Completing Deposit Insurance Calculation Process Because Additional Time Is Required for Data Clean Up, System Updates, and Customer Outreach; and, 2) Certain Internal Accounts That Require an Additional 24 Hours Post Failure for the Covered Institution To Obtain Beneficial Ownership Information From Internal Business Lines Necessary To Make a Deposit Insurance Determination -
Federal Register Document 2020–11987

(<https://www.federalregister.gov/documents/2020/06/03/2020-11987/notice-of-the-fdics-response-to-exception-requests-pursuant-to-recordkeeping-for-timely-deposit>)

effective May 28, 2020, as published June 3, 2020.

- Relief granted for: 1) Government Deposit Accounts for Which the Covered Institution Does Not have the Requisite Information Regarding the Official Custodian; 2) Informal Revocable Trust Accounts for Which the Covered Institution Needs Additional Time to Integrate Beneficiary Information; and, 3) Deposits Held in Connection With Low Balance, Short-Term Prepaid Cards -
Federal Register Document 2019–27626

(<https://www.federalregister.gov/documents/2019/12/23/2019-27626/notice-of-the-fdics-response-to-exception-requests-pursuant-to-recordkeeping-for-timely-deposit>)

effective November 26, 2019, as published December 23, 2019.

Frequently Asked Questions

The following frequently asked questions and answers are intended to help covered institutions interpret the Part 370 requirements. They were prepared by, and represent the views of, the staff of the Federal Deposit Insurance Corporation (the “FDIC”). They are not rules, regulations, or statements of the FDIC, and do not have the approval or disapproval of the Board of Directors of the FDIC. They are not legally binding on covered institutions or the FDIC. The staff may update these

questions and answers periodically based on the experience gained in the implementation of Part 370 by various covered institutions.

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Section 370.2 – Definitions



Q (Published 12/7/2018): If a Covered Institution reports each omnibus account as one account according to Call Report instructions for RC-O and accordingly does not meet the two million deposit account threshold, is the Covered Institution covered by Part 370?

No. Covered Institutions that conclude that they may accurately report under the two million deposit account threshold may take the following actions:

- Amend previously filed Call Reports for Q4 2016 and all subsequent Call Reports. Accurate, filed Call Reports must show that an institution does not meet the two million deposit account threshold during the two consecutive quarters preceding the Part 370 effective date of April 1, 2017, or thereafter. No further action would be necessary and an institution would not be considered a Covered Institution;
- Amend the three most recent Call Reports showing that an institution is under the two million deposit account threshold and apply for release from Part 370 pursuant to section 370.8(c); or
- Begin filing Call Reports, according to correct Call Report instructions, showing an institution is under the two million deposit account threshold. Upon filing three consecutive quarterly Call Reports under the deposit

Section 370.3 – Information Technology System Requirements



Q (Published 10/30/2019): In the ITFG, there appear to be two possible ways to process joint accounts if signature card requirements are not met. One method states accounts should be treated as owned by the named individuals in their SGL ORC, while the other states they should be placed in the Pending

File with the JNT ORC designation and the RAC pending reason code. Which is correct?

Where a covered institution believes accounts would qualify under the JNT ORC but where the accounts require additional review or remediation, those accounts can be placed in the Pending File with the JNT ORC designation and a pending code of RAC, in conjunction with an approved relief request. Where a covered institution believes an account does not meet the JNT ORC requirements, then that account should revert to the SGL ORC with the funds apportioned evenly among the named owners.

The recent amendments to 12 C.F.R. § 330.9(c) provide flexibility for institutions to meet the signature card requirements through information in the institution's deposit account records establishing co-ownership of the account, such as evidence that the institution has issued a mechanism for accessing the account to each co-owner or evidence of usage of the deposit account by each co-owner. As an example, the requirement could be satisfied by evidence that an IDI has issued a debit card to each co-owner of the account or evidence that each co-owner of the account has transacted using the deposit account. These amendments do not attempt to specify all of the forms of evidence of co-ownership that could be used to satisfy the signature card requirement.

Q (Published 12/7/2018): In the Customer File description on line 10, "CS Street Add Ln1" calls for the mailing address of record, but lines 13 to 16, "CS City, CS State, CS ZIP, and CS Country," calls for the permanent legal address. The same discrepancy exists for lines 18 to 24 in the Pending File. Which one should be used to populate the fields? Combination, legal or mailing?

The mailing address should be used for lines 10 through 16 on the Customer File and lines 18 through 24 on the Pending File, notwithstanding instructions in the file descriptions. The FDIC may need to contact or deliver items to account holders by mail in the event of a CI's failure and this ensures that the FDIC has the contact information where the depositor prefers to be reached.

Q (Published 1/19/2022): Is a covered institution required to close a deposit account because it cannot satisfy Part 370 recordkeeping or IT system requirements with respect to that account?

No, Part 370 does not require a covered institution to close a deposit account if the covered institution cannot satisfy Part 370 requirements with respect to the account. Moreover, FDIC staff would not direct a covered institution to close a deposit account in order for the covered institution to comply with Part 370.

A covered institution may decide to close a deposit account for a number of reasons, however, and that decision is between the covered institution and its depositor. A covered institution's efforts to comply with Part 370 may reveal reasons to close a deposit account or restructure a deposit relationship. For example, a covered institution may identify through recordkeeping research or other customer due diligence measures that the depositor of record is deceased or will not comply with BSA/AML requirements. Additionally, a covered institution may find that a depositor would optimize deposit insurance coverage by restructuring its deposit account(s). A covered institution must make those decisions, but to reiterate, covered institutions are not required to close a deposit account in order to comply with Part 370.

Q (Published 4/15/2020): Does the FDIC have an interpretation of the language in 12 CFR § 370.4(b)(2) that affords "alternative recordkeeping" for accounts where a covered institution "does not maintain the information" that would be needed for its IT systems to meet the requirements set forth in 12 CFR § 370.3?

FDIC staff recognizes that a covered institution is unlikely to have ready and continuous access to all of the information that would be needed to accurately calculate the deposit insurance coverage for each formal revocable trust account or irrevocable trust account insured as described in §§ 330.10, 330.12 or 330.13, as applicable. Even if a covered institution has access to some of the information that is needed, it does not necessarily have access to all of the information that would be needed to calculate deposit insurance coverage. It is likely that the information a covered institution has would need to be confirmed, updated, or supplemented, such as in a situation where a trust names "all of my children" as beneficiaries, but does not specifically name each

child.

Given these complexities, FDIC staff recognizes and accepts the position that a covered institution does not “maintain” the information that would be needed for its information technology system to meet the requirements set forth in § 370.3 if it does not maintain all of the information needed to calculate deposit insurance for formal trust accounts. FDIC staff will interpret § 370.4(b)(2) accordingly and will generally presume that a covered institution’s deposit account records for formal trust accounts will be maintained in accordance with the alternative recordkeeping requirements.

However, this interpretation should not be viewed as precluding a covered institution from determining independently that it does maintain the information needed for its information technology system to meet the requirements set forth in § 370.3. Further, this interpretation does not alter the recordkeeping provisions of § 370.4(b)(2)(i)-(iii) which specify the information covered institutions must maintain for these types of accounts.

Each covered institution is in the best position to decide what information it is capable of collecting and how current it can keep such information. As deposit-taking practices and relationship management processes evolve with technological advancement, or as the rules for deposit insurance coverage change, it may be possible for a covered institution to maintain all of the information needed to accurately calculate deposit insurance coverage for formal trust accounts in accordance with the FDIC’s deposit insurance rules set forth in 12 CFR part 330.

Q (Published 1/29/2020): Beneficiary IDs

For informal revocable trusts, such as payable-on-death accounts, covered institutions often have limited information for non-customer beneficiaries. Part 370 indicates certain fields are required fields in the Account Participant File, such as the AP_GOV_ID. Will a covered institution need to file an exception request for these accounts where there is missing government identification for beneficiaries?

Where limited information on non-customer beneficiaries and government identification is available, a covered institution should use its best efforts to create a unique identifier for these beneficiaries, notwithstanding the missing information. Should an institution choose to create a unique identifier for these beneficiaries, it should populate the identical unique identifier in fields 6 and 7 of the Account Participant File, and populate field 8 "AP_GOVT_ID_Type" with OTH.

If a covered institution cannot create unique identifiers or does not have access to a United States or foreign government –issued unique identifier for beneficiaries for informal revocable trust accounts, then it will need to file an exception request for the affected accounts.

Please note that FDIC's deposit insurance regulations, found at 12 C.F.R. Part 330, are separate and distinct from the requirements of Part 370. The relevant section of Part 330, section 330.10, requires that the names of the beneficiaries be disclosed in the bank's records. There is no requirement in the FDIC's deposit insurance regulations for banks to obtain or maintain a beneficiary's government identification for purposes of being **eligible** for deposit insurance.

The purpose of the Part 370 requirements is to ensure prompt and accurate payment of deposit insurance to depositors of large, complex banks in the event of the institution's failure. As a result, the lack of government or other unique identifier may delay the calculation of deposit insurance but **does not** have any impact on eligibility for or availability of deposit insurance.

Q (Published 11/26/2019): Can the FDIC provide additional information on the calculation of coverage for deposits held by an IDI as trustee of an irrevocable trust? Section 330.12 of the regulations does not always provide rules to address particular scenarios we have encountered for accounts within the DIT ORC.

Coverage for deposits held by an IDI as trustee of an irrevocable trust are governed by section 7(i) of the FDI Act, 12 U.S.C. § 1817(i), and section 330.12 of the FDIC's regulations. Staff's position is that covered institutions may apply the general rules for coverage of deposits of irrevocable trusts, set forth in § 330.13, to calculate insurance coverage for deposits held by an IDI as trustee of

an irrevocable trust, except for where those general rules are inconsistent with section 7(i) and section 330.12. There are two aspects of the calculation, in particular, where deposits held by an IDI as trustee of an irrevocable trust are treated differently.

First, a grantor's retained interest in a trust held by an IDI as trustee of an irrevocable trust is not treated as a single ownership deposit and aggregated with the grantor's other single ownership deposits. Section 330.12 provides for coverage up to the standard maximum deposit insurance limit for each owner or beneficiary represented, "separate from, and in addition to, the insurance provided for any other deposits of the owners or the beneficiaries." § 330.12(a). Therefore, a grantor's retained interest in a DIT account should be classified under the DIT ORC.

Second, the typical aggregation of funds that pass from the same grantor to the same beneficiary under the general trust rules does not apply to deposits held by an IDI as trustee of an irrevocable trust. Aggregation would occur only across multiple deposit accounts held by a single trust. This is because the statutory provision that generally requires aggregation specifically exempts deposits held pursuant to section 7(i). See 12 U.S.C. § 1821(a)(1)(C).

Q (Published 9/19/2019): What information does the FDIC expect covered institutions to maintain related to official custodians of government accounts?

For purposes of Part 370, the title, position, or office of an official custodian can be used for government account calculations.

Q (Published 6/27/2019): Prepaid Cards

Are pre-paid cards subject to Part 370? If so, how should they be processed for compliance with the rule?

Yes, stored value or pre-paid cards are subject to Part 370 and are considered deposits. The calculation of deposit insurance depends upon the satisfaction of the requirements for obtaining pass-through insurance coverage. To satisfy these requirements, the records of the institution, the fiduciary, or a third party must disclose the agency or custodial relationship, indicate both the identities of the principal(s) as well as the ownership interest in the deposit,

and show the deposits are actually owned by the named owners and not the custodian. Pass-through insurance generally applies to stored value or pre-paid cards that are registered and where the institution can identify the cardholder and ownership interest. If the underlying registered card information is not maintained on the Part 370 institution's system, the data can be submitted using the alternative recordkeeping entity input file format and integrated through the institution's Part 370 deposit insurance calculation process. Part 370 requires the ability to restrict access to these accounts until insurance determinations are complete.

Where cards are not registered, and where the covered institution cannot identify the cardholder and ownership interest, the pass-through insurance requirements would not be met and the aggregate of the funds attributable to unregistered cards would be insured to the custodian up to the Standard Maximum Deposit Insurance Amount (SMDIA). For example, Anycorp provides its employees with spot bonuses paid in the form of \$50 pre-paid cards issued by Largebank, a Part 370 covered institution, and the account documentation properly establishes a fiduciary relationship. Employees have the option to visit the website of the pre-paid card administrator and input his or her name and address to register the cards, but 99% of the employees choose not to do so. For the 1% of the registered employee bonus cards, Largebank would aggregate the individual card value with all other deposits of the employee in the same ownership right and capacity at Largebank and insure up to the SMDIA. For the 99% of unregistered cards, Largebank would aggregate the value attributable to those cards with Anycorp's other deposits at Largebank and insure up to the SMDIA notwithstanding the fact that the unregistered cards are in the hands of individual employees.

Q (Published 6/27/2019): Local Chapters of National Organizations

How should local chapters of charitable organizations be in a covered institution's Part 370 records when the local chapter uses the EIN of the main organization to administer its accounts?

Deposits for local chapters of international, national, or regional charities are insured separately from those of the main entity. Deposits for entities, such as the Boy Scouts, would be aggregated at the troop or local chapter level and insured up to the SMDIA for their respective right and capacity, separate from

funds held by the parent entity. The unique ID of the local chapter would differentiate it from the parent entity in the Part 370 output files.

Q (Published 5/9/2019): Are Covered Institutions' internal operational processing accounts outside of the scope of Part 370?

Internal operational accounts, including intercompany accounts, zero-balance accounts, accounts payable, disbursement accounts, error accounts, suspense accounts, mortgage application fees, and bank teller accounts are generally not covered by FDIC insurance and, therefore, are outside of the scope of Part 370, to the extent that these are bank-owned funds. In the event of failure, the FDIC will address these accounts through specific instructions.

Q (Published 5/9/2019): While noting that recordkeeping for official items (section 370.4(c)) allows for minimal information to be retained regarding accounts from which withdrawals are made to honor payment instruments to specific payees, what is the minimum information required for an insurance calculation?

The payee is the owner of the funds. If the Covered Institution has the payee name, government identification for the payee, and the amount of the official item, the Covered Institution's IT system should be able to complete the insurance calculation. If an institution does not have this required information, the account would go in the pending file with the pending reason code "OI," and there would be no need for an exception request.

Q (Published 5/9/2019): In the event a Covered Institution serves as co-trustee for an irrevocable trust, does the account belong in the DIT or IRR ORC? For example, the other co-trustee could be a non-bank person or entity, such as a lawyer, law firm, wealth manager, or family member.

It would be accurate to assign either the DIT or the IRR ORC codes to a deposit held by the type of irrevocable trust described, assuming the requirements of both categories are satisfied. The deposit insurance rules for trusts in the DIT category may be more generous in some situations than the rules for the IRR category, particularly with respect to aggregation.

Q (Published 5/9/2019): Regarding formal revocable trusts and irrevocable trusts, is grantor information required, even if it is in the records that require manual review, for FDIC Part 370 certification?

Trust-specific information, including the identities of the grantor(s) and beneficiary(ies), is required to calculate deposit insurance for trust accounts insured in either the REV or IRR right and capacity. Under section 370.4(b)(2), covered institutions may apply alternative recordkeeping treatment to trust accounts for which they do not maintain all information needed to calculate deposit insurance. For trust accounts that qualify for alternative recordkeeping treatment and that have “transactional features,” covered institutions must assign a unique identifier for the grantor. This requirement applies regardless of whether grantor information is maintained in paper-based records such as trust documents or certificates of trust. The Covered Institution must collect from the trustee or account holder the grantor name and unique identifier, if it hasn’t already, and input or transform that information into an electronic file format that can be used by the covered institution’s part-370 compliant IT system to begin calculating deposit insurance so that some insured deposits can be made available right away. It is not sufficient to maintain grantor information in records that require manual review. Additionally, if the proposed revision of Part 370 is finalized, then the Covered Institutions would also be required to maintain the corresponding “right and capacity” code in their deposit account records.

The FDIC expects that the covered institution’s part 370-compliant IT system would be able to process the remaining information necessary to complete a

Section 370.5 – Transactional Features



Q (Published 12/7/2018): What is the purpose for addressing accounts with "transactional features" in Section 370.5?

Banks offer depositors certain accounts that allow the depositor to write checks, send or receive ACH payments, or conduct other transactions. Because it may take several days for these transactions to be completed, they could still be pending when a bank fails. If, for example, a check is presented to the successor to the failed bank on the business day following the failure, the successor bank will not be able to honor the check unless the FDIC has completed a deposit insurance determination. If there is a delay in completing the deposit insurance determination, the check could be returned, causing complications for the depositor. Moreover, a delayed deposit insurance

determination could result in a large number of checks or other transactions not being processed, making operations very difficult for the successor bank. Accordingly, section 370.5 requires account holders who maintain information necessary for deposit insurance determinations outside of the bank and whose accounts have transactional features, to provide to the FDIC the information needed in time for the FDIC to calculate deposit insurance coverage within 24 hours after the FDIC's appointment as receiver.

Deposit accounts with "transactional features" include deposit accounts from which deposits can be used to make payments or transfers to third persons or others (including another account of the depositor or account holder at the same institution or at a different institution). By including the phrase "another account of the depositor or account holder at the same institution or at a different institution," the rule encompasses deposit accounts held in connection with prepaid card programs, brokered deposit programs, sweep programs, or other programs that permit their customers (who are the beneficial owners of the deposits that would be entitled to deposit insurance)

Section 370.6 – Implementation



Q (Published 10/30/2019): Will extension notices submitted under section 370.6(b)(2) to extend the Part 370 compliance date for a period of up to one year be posted and made public?

A notice of extension submitted under section 370.6(b)(2) will be considered supervisory information and will be kept confidential.

Q (Published 10/30/2019): If a covered institution submits an extension notice under section 370.6(b)(2) prior to April 1, 2020, should the data required in the notice be updated as of April 1, 2020?

Yes. Covered institutions may submit the section 370.6(b)(2) extension notice prior to April 1, 2020. Such notice should state the total number and dollar amount of deposits for which the institution's information technology system cannot calculate deposit insurance as of the date of the submission of the

Section 370.8 – Relief from Part 370 Requirements



Q (Published 12/7/2018): Signature Cards

Do Covered Institutions need to request relief before placing joint accounts with missing, incomplete, or inaccurate signature cards into the pending file?

A: As noted in section 370.8(b), covered institutions should request an exception in conjunction with placing joint accounts in the Pending File for reasons other than those allowed by Part 370 or the ITFG (for example, missing data fields without a “null” allowance). Section 330.9 establishes the requirements for joint accounts, which are needed for the FDIC to determine account ownership interests and insurance coverage, and the FDIC has provided additional information regarding means by which Covered Institutions can satisfy the signature card requirements of section 330.9.

Q (Published 12/7/2018): Should relief pursuant to section 370.8 for certain accounts be requested before the April 1, 2020, certification submission?

A: Yes, requests for relief should be submitted in advance of the Compliance Date. The summary report to be submitted pursuant to section 370.10(2)(v) requires the identification of deposit accounts for which the calculation could not be completed in the event of a Covered Institution’s failure. It is presumed that the CI’s certifying official would expect clarity with respect to the subset of deposit accounts for which relief is granted or pending when completing a certification submission.

UPDATED Q (Updated 3/20/25): What are the criteria by which the FDIC may grant exceptions for certain deposit accounts?

A: The FDIC is required to pay depositors’ insured funds as soon as possible, which has typically been on the next business day. To assess the impact of an exception on the ability to quickly and accurately calculate the deposit insurance for the related deposit accounts, the following information must be provided to the FDIC in accordance with section 370.8(b):

- Demonstrate the need.

- Explain how compliance with the requirement from which relief is sought would be impracticable or overly burdensome.
- Explain how the exception, if granted, impacts the ability of the CI's IT system to quickly and accurately calculate deposit insurance for the related deposit accounts.
- Identify whether the accounts have transactional features, as defined under section 370.2(j), and if so:
 - Describe the ability to continue to conduct depositors' transactions until the deposit insurance determination is complete.
 - Identify the sources and sufficiency of available liquidity to support continued transaction clearing during the pendency of the insurance determination, including the number of days funding will be available based on average daily transaction flows.
- State the number of, and dollar value of deposits in, the related deposit accounts.

Depending on the nature of the relief request, providing the following information, as necessary, with a relief request would facilitate the review of the necessary elements listed above.

- Identification of the beneficial owners of the funds by type (individual, commercial, government, etc.) if the beneficial owner is not the account holder.
- Breakdown of the number of affected deposit accounts above and below \$250,000 and the average account balance. The proportion of all deposit accounts that these deposit accounts represent, and the proportion of the CI's deposit dollar volume that they represent.
- Estimated time required for banks or account holders to submit the information required to complete a deposit insurance determination.

NEW Q (Published 3/20/25): May a covered institution submit its Part 370 certification of compliance if it is substantially compliant with the requirements of the Rule but its Part 370 capabilities are not yet capable of accurately calculating deposit insurance for all its deposit accounts in a timely manner?

A: FDIC staff acknowledges the difficulty of achieving and maintaining the capability to accurately calculate deposit insurance for all deposit accounts within 24 hours after the appointment of the FDIC as receiver (or as provided under the alternative recordkeeping provisions) due to various issues which may not be easily addressed or resolved through general, industry-wide guidance. As a result, FDIC staff is providing this guidance for covered institutions to consider when preparing a Part 370 certification.

A covered institution that is not capable of calculating deposit insurance for all deposit accounts may certify so long as the covered institution's Part 370 capabilities can accurately calculate deposit insurance pursuant to the Rule and guidance (including FAQs) for substantially all of its deposit accounts not subject to exceptions. This would be the case if the covered institution (1) has the capability to accurately calculate deposit insurance as required by the Rule or as provided for in guidance for at least 95 percent of deposits not subject to exceptions (based on number of deposit accounts); and (2) maintains a full list of issues inhibiting its ability to calculate deposit insurance for certain deposit accounts and is taking proactive steps to identify and, to the extent practicable, remediate those issues in a timely manner.

FDIC staff recognizes the ongoing efforts that covered institutions are making to comply with the requirements of Part 370 in order to ensure the capabilities required thereunder are available in the event that (1) the covered institution fails and (2) the FDIC is required to conduct a deposit insurance determination.

UPDATED Q (Updated 3/20/25): Would FDIC staff consider a covered institution noncompliant with Part 370 while minor recordkeeping deficiencies that do not impede a covered institution from accurately calculating deposit insurance coverage exist?

A: Section 370.10(a) requires each covered institution to certify annually that it has implemented all required capabilities ("Part 370 capabilities") and tested its information technology system during the preceding twelve months, and that such testing indicates that the covered institution is in compliance with Part 370. For purposes of this certification of compliance, FDIC staff will consider a covered institution to be in compliance with the Rule when a covered institution's Part 370 capabilities can accurately calculate deposit insurance coverage in accordance with the Rule, including Part 370 guidance.

FDIC staff recognizes that a covered institution may have certain minor recordkeeping deficiencies (whether identified by FDIC staff during a compliance test or by the covered institution) that do not impede the covered institution's Part 370 capabilities from accurately calculating deposit insurance coverage. Examples of certain minor recordkeeping deficiencies are listed in Appendix A. A covered institution may contact Part370@fdic.gov for guidance on whether deficiencies not listed in Appendix A would be considered minor recordkeeping deficiencies. The FDIC may periodically update the list in Appendix A.

FDIC staff will not find a covered institution in violation of Part 370 for minor recordkeeping deficiencies that do not impede the covered institution's Part 370 capabilities from accurately calculating deposit insurance coverage, provided that actions are being taken to address such deficiencies in a timely manner. Accordingly, a covered institution need not submit a request for exception relief for such minor recordkeeping deficiencies.

FDIC staff still expects the covered institution to continue to rectify these deficiencies however.

Appendix A

- Incorrect spelling of a depositor's name if the covered institution has otherwise been able to establish a unique identifier for that depositor;
- Entry of an incorrect government identification type (CS_Govt_ID_Type) in the Part 370 records for a depositor's account should not impede the calculation of deposit insurance coverage if the covered institution has otherwise been able to establish a unique identifier for that depositor;

- Missing First Name, Middle Name, or Last Name in data fields for the individual authorized to transact on an account held by a business entity depositor;
- Missing Outstanding Debt flags;
- Null values in the Security Pledge Flag for non-government customers;
- Errors or nulls in the Customer Type, Address, Telephone, or Email data fields of the Customer File or Account Participant File, if government or unique identification numbers are present and permit aggregation and calculation; or
- Concatenated output file values, such as names or addresses, that reflect correct values in merged output file columns.

UPDATED Q (Updated 3/20/25): What should a covered institution submit to the FDIC if it cannot certify compliance with Part 370 by the time its annual certification is due?

A: If a covered institution cannot certify compliance with Part 370, as clarified in these FAQs and other applicable guidance, it should instead:

- Identify the instances that prevent the covered institution's Part 370 capabilities from accurately calculating deposit insurance coverage as required by the Rule;
- Provide a plan and timeframe, or update its previously submitted plan and timeframe, to resolve such instances;
- Explain remediation challenges to the extent they exist; and
- Submit its deposit insurance coverage summary report ensuring that the deposit accounts for which the Part 370 capabilities cannot calculate deposit insurance coverage are reported in accordance with section 370.10(a)(2)(v).

Alternatively, a covered institution may submit a relief request for exception from one or more of the Rule's requirements "if circumstances exist that would make it impracticable or overly burdensome to meet those requirements." 12 C.F.R. 370.8(b)(1). Under Section 370.10(c), a covered institution with pending relief requests "will not be considered to be in violation of this part as to the requirements that are the subject of the request." FDIC staff, therefore, will,

consistent with the Rule, accept a certification of compliance by a covered institution that has pending exception relief requests.

Q (Published 12/1/2022): Compliance with Part 330 Simplification Rules

The FDIC's Final Rule to simplify deposit insurance, 87 Fed. Reg. 4455 (January 28, 2022), has an effective date on April 1, 2024. What are the impacts on submitting annual certifications of compliance with Part 370? Will the FDIC publish a revised Information Technology Functional Guide?

A: A covered institution's Part 370 capabilities must conform to prevailing deposit insurance rules set forth in Part 330. Certifications of compliance with Part 370 made on or prior to April 1, 2024 should reflect existing requirements. Certifications submitted after April 1, 2024 should reflect the changes in Part 330 that take effect on April 1, 2024. On and after April 1, 2024, covered institutions should utilize ownership right and capacity code "TST" for the combined revocable and irrevocable trust categories as set forth in § 330.10.

FDIC staff has updated the Part 370 Information Technology Functional Guide (ITFG) to address the recent revisions to Part 330 concerning deposit insurance coverage for certain trust accounts and mortgage servicing accounts. Please refer to ITFG version 3.0.

FDIC staff has not yet updated the 2016 edition of its "Financial Institution Employee's Guide to Deposit Insurance," but has provided a fact sheet addressing the changes to the rules for coverage of trust deposits that take effect on April 1, 2024. The "Financial Institution Employee's Guide to Deposit Insurance" and the fact sheet can be found on the FDIC's [Financial Institution Employee's Guide to Deposit Insurance](https://www.fdic.gov/financial-institution-employees-guide-deposit-insurance) (<https://www.fdic.gov/financial-institution-employees-guide-deposit-insurance>) website. FDIC staff will alert industry participants when updates to the guides are published.

Q (Published 12/1/2022): Many covered institutions have submitted relief requests asserting that they cannot comply with Part 370's deposit insurance calculation timing requirements with respect to deposits in certain types of accounts that are not held in the name of a depositor and are used for processing transactions (e.g., "work-in-process accounts," "clearing accounts," "settlement accounts," "suspense accounts," or other similarly described accounts, all collectively referred to in this FAQ as "internal accounts"). How

should covered institutions treat depositors' funds while held in these internal accounts for purposes of compliance with Part 370?

A: Part 370 generally requires a covered institution to configure its recordkeeping and information technology systems to be capable of calculating deposit insurance for each deposit account within 24 hours after the appointment of the FDIC as receiver ("Part 370 capabilities"). A covered institution's Part 370 capabilities are essential to ensure that if it were to fail, its depositors would receive their insured deposits as soon as possible as mandated by section 11(f)(1) of the FDI Act.

Internal accounts often hold deposits whose owners must be identified before the deposits can be aggregated with the owners' other deposits at the covered institution or forwarded to another financial institution for settlement. In the event of a covered institution's failure, this identification must occur as soon as possible after end-of-day processing consistent with the FDIC's methodology for determining deposit account balances set forth in 12 C.F.R. § 360.8 so that the deposit insurance determination can be completed. In most circumstances, the information necessary to identify the depositors and the amount of their deposits should be available in the covered institution's deposit account records. The general recordkeeping requirements set forth in section 370.4(a) are applicable to internal accounts holding deposits that have been moved to an internal account from a customer's deposit account or where the requisite depositor information is otherwise available in the covered institution's records. For example, an internal account that holds dormant account funds pending escheatment to the appropriate state abandoned property office must be maintained in accordance with the general recordkeeping requirements set forth in section 370.4(a).

The FDIC recognizes, however, that certain internal accounts hold deposit balances that will require outreach to third parties or additional research to confirm the accuracy of the amount or ownership of the deposit and that research or outreach might not be completed within 24 hours after the FDIC's appointment as receiver. A covered institution may not have the information concerning deposit ownership in its deposit account records at the time of failure because the covered institution must rely upon another party for the requisite depositor information. Moreover, a covered institution may be able to identify the owners of deposits in an internal account but cannot accurately

calculate the deposit insurance because the covered institution has not been able to verify certain aspects or elements of the transaction. The requisite information must be identified or obtained before deposit insurance can be calculated. Such internal accounts include, but are not limited to, internal accounts which hold returned wires in process, check deposit errors, check fraud, and loan payment errors.

Although internal accounts must be maintained in accordance with the general recordkeeping requirements set forth in section 370.4(a), FDIC staff acknowledges the practical limitations of satisfying the general recordkeeping requirements continuously in order to calculate deposit insurance for these internal accounts within the 24 hour time requirement. Therefore, FDIC staff will not find a covered institution in violation of Part 370 for instances of noncompliance with Part 370's general recordkeeping requirements applicable to internal accounts while a covered institution conducts outreach to third parties or additional research to verify deposit ownership or resolve errors, so long as the covered institution maintains its internal accounts in accordance with the alternative recordkeeping requirements set forth in section 370.4(b)(1) and takes the following actions:

- In each Part 370 certification of compliance, describe the number of internal accounts, the average balances of internal accounts that cannot be processed within the 24 hour time frame required by Part 370, how each internal account is used, the General Ledger account numbers associated with such accounts, the amount of time it would take to complete processing and calculate deposit insurance for each type of impacted internal account, and, in the event that processing and calculation would take longer than 30 days, provide an explanation of the circumstances under which processing cannot be completed sooner;
- Maintain policies and procedures to prioritize and expedite the identification of the affected accounts to aggregate deposit balances of each depositor by ownership right and capacity to accurately calculate the deposit insurance coverage amount;
- Covered institution's information technology system and processes must be capable of making such insured funds available to depositors no later than the time at which the deposits would be available to depositors in the normal course of business, but in no event later than 60 days after failure;

- Maintain the ability to prevent debits or credits to such internal accounts in the event of failure until a deposit insurance determination can be made; and
- Make reasonable efforts, in the ordinary course of upgrading its information technology systems, to implement new payment systems technology as it becomes available to the financial services industry to integrate an information technology solution that would facilitate calculation of deposit insurance for deposits in internal accounts within 24 hours after a covered institution's failure.

The FDIC will verify ongoing efforts to improve processing capabilities and related policies and procedures for internal accounts during Part 370 compliance tests. Based upon this FDIC staff position, covered institutions that take the actions listed above need not submit an exception request. Moreover, covered institutions that have requested exception relief from Part 370's deposit insurance calculation processing time frame for internal accounts should withdraw those requests if they intend to take the approach outlined in this FAQ.

This FAQ dated December 01, 2022 supersedes prior FDIC guidance related to relief from Part 370's deposit insurance calculation processing time frame for internal accounts (including the Part 370 Information Technology Functional Guide and Compliance Review Manual).

Q (Published 6/14/2022): Recordkeeping Requirements for which Compliance may be Dependent upon the Receipt of Depositor Information

Part 370 of the FDIC's rules and regulations requires a covered institution to (i) configure its IT systems to be capable of performing the functions set forth in section 370.3(b) and (ii) maintain in its deposit account records for each deposit account the information necessary for its IT systems to meet the requirements set forth in section 370.3(b). Generally, under section 370.4(a), a covered institution must maintain in its deposit account records information regarding deposit ownership that would be necessary to complete an accurate and timely deposit insurance calculation; e.g., name, address, and a unique identifier at a minimum. The exact depositor information that the covered institution needs to satisfy the applicable recordkeeping requirements may be dependent upon the type of account and a response from the depositor.

Under section 370.4(b), however, a covered institution may instead satisfy “alternative recordkeeping requirements” for certain types of accounts (i.e., accounts eligible for pass through deposit insurance coverage and certain formal trust accounts). Furthermore, sections 370.4(c) and (d) prescribe recordkeeping requirements for official items and credit balances, respectively.

Since Part 370’s effective date, most, if not all, of the covered institutions conducted outreach to their depositors in an effort to obtain information the covered institutions need to comply with the recordkeeping requirements of section 370.4. The covered institutions have been successful in obtaining the requisite information to varying degrees.

In order to be able to certify compliance with Part 370, many of the covered institutions submitted requests for relief from recordkeeping requirements for specific deposit accounts because those depositors did not respond to the covered institutions’ requests for information. The FDIC granted covered institutions time-limited relief from those requirements. This time-limited relief has now or will soon expire; however, most of the covered institutions still have not received the requisite information from the depositors. For deposit accounts opened prior to the covered institution’s compliance date, as defined in section 370.2(d), will FDIC staff consider a covered institution to be in substantial compliance with Part 370’s recordkeeping requirements if (i) the covered institution’s approach for satisfying Part 370’s recordkeeping requirements is dependent solely on the depositors providing the information, and (ii) the depositors remain unresponsive despite ongoing outreach efforts by the covered institution?

A: Yes, for deposit accounts opened prior to the covered institution’s compliance date, FDIC staff will recognize a covered institution as being in substantial compliance with certain recordkeeping requirements of Part 370 in the particular situation where resolution of a Part 370 recordkeeping deficiency is dependent solely on a depositor’s response and that response has not been forthcoming despite the covered institution’s ongoing outreach efforts. The types of deposit accounts affected may include, but are not limited to, government accounts, joint accounts, formal revocable and irrevocable trust accounts, and informal revocable trust accounts. FDIC staff will not consider a covered institution noncompliant with Part 370 in this situation and will not recommend supervisory or enforcement action against a covered

institution for this problem alone. Accordingly, a covered institution may submit its Part 370 annual certification of compliance consistent with this FAQ and need not request relief for this problem provided that the covered institution achieves substantial compliance by operating in accordance with the following conditions:

- Made multiple (three or more) attempts to contact a depositor for this information;
- At least annually, contact all depositors who remain unresponsive to the covered institution's requests;
- States in its Part 370 annual certification of compliance that it is in substantial compliance with recordkeeping requirements, but that full compliance is dependent upon depositor responses;
- States in its Part 370 deposit insurance coverage summary report: the number of accounts for which a depositor's response is still pending by account type (with description of the type of, or purpose for, the account(s)), the aggregate and average balances of deposits in such deposit accounts by account type, the number of depositor outreach attempts made during the past year, and the communication methods used for contacting depositors;
- Informs these depositors that their failure to respond could result in a delay of deposit insurance payments;
- Collects from the depositor the information needed to satisfy Part 370's recordkeeping requirements at the time of account opening for deposit accounts opened after the covered institution's compliance date;
- Maintains the ability to restrict access to the subject accounts in the event of failure;
- Lists in the Part 370 Appendix B – Pending File the deposit accounts for which a depositor's response has not been forthcoming; and
- Immediately bring to the FDIC's attention any change of circumstances or conditions.

The FDIC will verify the covered institution's ongoing depositor outreach efforts and related policies and procedures during its Part 370 compliance tests.

Based upon this FDIC staff position, a covered institution may determine that it is substantially compliant with part 370's recordkeeping requirements for deposit accounts in this situation, and therefore, an exception request is unnecessary. Moreover, covered institutions should withdraw requests for relief made on this basis.

This FAQ dated June 14, 2022 supersedes prior FDIC guidance, including the Information Technology Functional Guide and Compliance Review Manual, related to grants of relief for requests that identify depositor outreach as the only recourse for rectifying an instance of noncompliance with Part 370's recordkeeping requirements. Conversely, this FAQ does not apply to any situation in which a covered institution's compliance with Part 370 recordkeeping requirements is not dependent on depositor response.

Q (Published 2/8/2022): How should a covered institution's Deposit Insurance Coverage Summary Report address omnibus and other accounts that contain deposits owned by various parties that are insured in various ownership rights and capacities?

A: The Information Technology Functional Guide provides guidance to covered institutions by providing an illustrative example for the Deposit Insurance Coverage Summary Report that can be used to satisfy the reporting requirement set forth under § 370.10(a)(2). In instances where a covered institution has identified deposits in a single account that are owned by various parties insured in various ownership rights and capacities ("ORCs") and sufficient information is available in the covered institution's records to calculate deposit insurance, the covered institution should display the beneficial owners' allocation of the deposit balance by ORC together with the number of accounts attributable to each owner on Table 1, which corresponds with the Customer and Account Files. Covered institutions should also include an additional row in Table 1 as a reconciliation line to report the distinct totals, as shown in the example below, to clarify that the number of deposit accounts listed on the summary report differs from the number of deposit accounts the covered institution reports on its Call Reports or for other purposes.

Example:

Table 1 - Summary by Ownership Right and Capacity as of 12/31/2021								
Ownership Right and Capacity Code	Number of Account Holders	Total Number of Deposit Accounts		Fully Insured Deposit Accounts		Partially Insured/Uninsured Deposit Accounts		
		Count	Dollars (millions)	Count	Dollars (millions)	Count	Dollars Insured (millions)	Dollars Uninsured (millions)
SGL	4,932,931	7,366,312	\$ 184,158	7,218,985	\$ 138,119	147,327	\$ 36,831	\$ 9,208
JNT	8,598,881	15,992,957	\$ 399,824	15,673,097	\$ 219,903	319,860	\$ 159,930	\$ 19,991
REV	248,500	310,252	\$ 155,126	279,226	\$ 112,468	31,026	\$ 38,780	\$ 3,878
IRR	143,797	226,507	\$ 113,254	192,530	\$ 59,458	33,977	\$ 42,470	\$ 11,325
CRA	212,982	303,704	\$ 75,926	242,963	\$ 53,148	60,741	\$ 15,185	\$ 7,593
EBP	36,740	38,089	\$ 571	36,184	\$ 81	1,905	\$ 476	\$ 14
BUS	1,518,568	1,979,778	\$ 494,945	1,484,833	\$ 321,714	494,945	\$ 123,736	\$ 49,494
GOV1	7,644	7,702	\$ 770	6,931	\$ 540	771	\$ 192	\$ 39
GOV2	517,371	785,044	\$ 78,504	706,539	\$ 54,953	78,505	\$ 19,626	\$ 3,925
GOV3	15,734	16,724	\$ 1,672	15,051	\$ 1,171	1,673	\$ 418.00	\$ 84
MSA	1,850,409	2,535,211	\$ 12,676	2,534,957	\$ 12,600	254	\$ 63	\$ 13
PBA	7,869	14,061	\$ 703	13,920	\$ 492	141	\$ 35	\$ 176
DIT	991	992	\$ 298	496	\$ 99	496	\$ 124	\$ 74
ANC	335,762	392,130	\$ 98,033	388,208	\$ 87,249	3,922	\$ 980	\$ 9,803
BIA	43,760	82,058	\$ 2,051	81,975	\$ 2,011	83	\$ 20	\$ 21
DOE	377,321	662,063	\$ 331	662,063	\$ 331	-	\$ -	\$ -
Total	18,849,260	30,713,584	\$ 1,618,842	29,537,958	\$ 1,064,337	1,175,626	\$ 438,866	\$ 115,638
Distinct Total*	12,549,340	30,125,756	\$ 1,618,842	29,152,369	\$ 1,064,337	973,387	\$ 438,866	\$ 115,638

* Distinct Total represents the unique number of account holders and deposit accounts at the Covered Institution.
Ownership Right and Capacity Codes refer to Appendix A to Part 370
Sample information; For illustrative purposes only

Q (Published 3/11/2021): What is the process for submitting output files in advance of a compliance test?

A: The FDIC will contact institutions approximately 90 days in advance of a scheduled compliance test. The FDIC will utilize the secure, file-transfer mechanisms provided within Enterprise File Exchange (EFX) (efx.fdic.gov). In providing output files for Part 370 compliance tests, the FDIC requests that covered institutions adhere to the following guidelines:

- **Data Formatting:** Output files should be pipe-delimited ASCII flat files. Do not pad leading and trailing spacing or zeros for the data fields. Institutions should adhere to the format specified for each output file field as specified in Appendix B to Part 370. Non-numeric characters should not be present

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Last Updated: May 18, 2026